

■ 5-0 Strategy

Overview

The 5-0 Strategy is designed to catch the big moves starting from the overnight session — not just quick scalps. You can take partial exits at key levels or previous highs/lows, but that's not what this strategy is built for. Doing so usually means you're leaving money on the table, since the real move often continues much farther once momentum builds overnight into the London and New York sessions.

Pre-Market Bias

Before the 6 PM reopen, mark the previous day's high and low. These zones often act as magnets or reversal points during the overnight session. Doing this provides better context for the 5-minute candle direction and can help confirm bias.

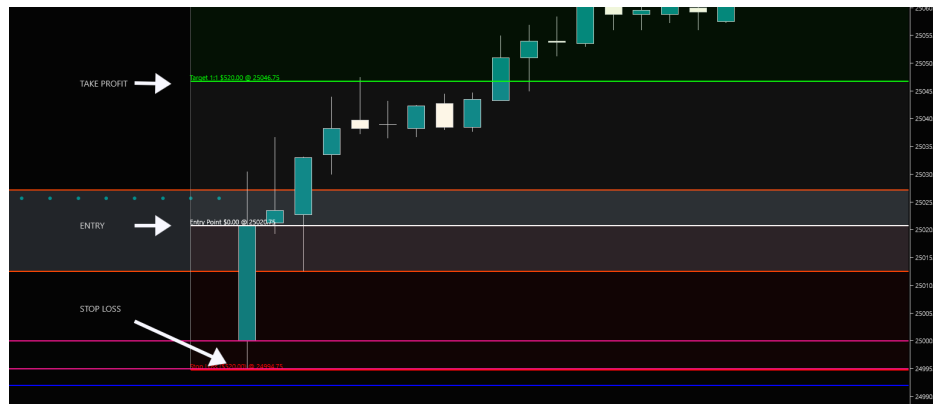
Setup Rules

Step 1 – Wait for Market Reopen

- Watch the market starting at 6:00 PM EST (futures reopen).
- The first 5-minute candle after reopen sets direction:
 - Bullish close → look for longs
 - Bearish close → look for shorts

Long Setup

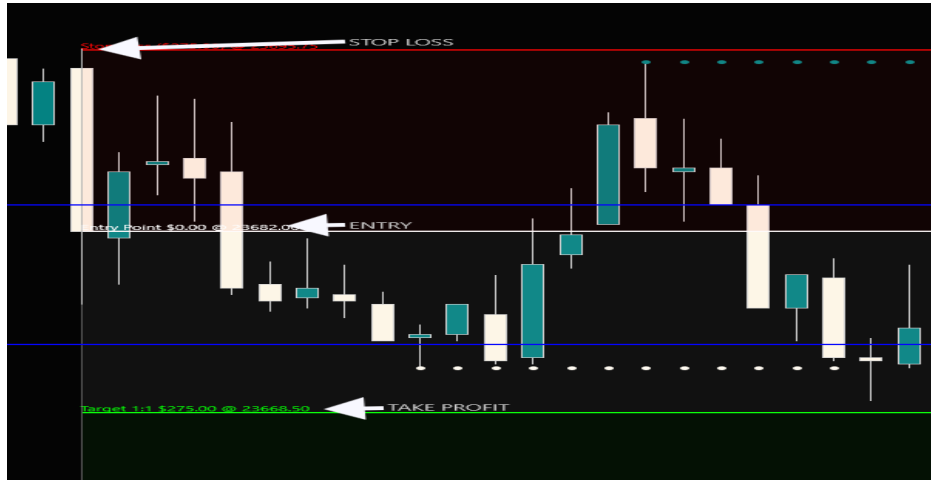
- Entry: At candle body close
- Stop-Loss (SL): Below the wick of that same candle
- Take-Profit (TP): Whatever you choose
- Risk Guidance: Trades with risk less than \$300 tend to lose after TP 1–2 — just be aware of that pattern. Re-entries often perform better.



Example of a Long Setup

Short Setup

- Entry: At candle body close
- Stop-Loss (SL): Above the wick of that same candle
- Take-Profit (TP): Whatever you choose
- Risk Guidance: Trades with risk less than \$300 tend to lose after TP 1–2 — just be aware of that pattern. Re-entries often perform better.



Example of a Short Setup

Session Correlation

The 6 PM move often sets the tone leading into the London session (3 AM–5 AM EST), which typically fuels continuation or reversal volume. Recognizing this correlation helps you anticipate where momentum is likely to build overnight.

Re-Entry Rules

- If the first trade loses, you may take one re-entry only.
- Re-entry is placed at the original entry price — nothing changes.
- Stop after two total losses.

Trade Management

- You can take this setup every day at market reopen (6 PM EST).
- At TP 2, consider removing partial position and move SL to BE + 1 (cover commissions — “give the market nothing”).
- As price continues:
 - When price hits TP 3, move SL up to TP 1
 - When price hits TP 4, move SL up to TP 2, etc.

Key Check-In Times

Certain times often cause trend reversals in NQ, so monitor or exit as needed:

- 6 AM EST – Common time for NQ trend reversals — review trade.
- 8:30 AM EST – Check for news events that could impact momentum.
- 9:30 AM EST – New York open — if no news, reassess before volatility spike.

Quick Recap

- Wait for the first 5-min candle at 6 PM EST.
- Trade in its direction.
- Be aware of risk under \$300 — often weaker setups.
- One re-entry max.
- Check progress at 6 AM, 8:30 AM, and 9:30 AM EST.
- Designed to capture overnight continuation, not scalps.

Final Notes

- This strategy is designed to capitalize on overnight momentum, not small intraday scalps.
- Focus on discipline: one clean setup, defined risk, and strong follow-through.
- When managed properly, this setup can capture the full overnight-to-morning trend instead of smaller intraday profits.

Disclaimer

This material is for educational purposes only and not financial advice. Trading futures involves substantial risk and may not be suitable for all investors. Always trade responsibly and at your own risk.